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General Management

Management Science

1. Do Job Applicants Consider Founder Race and Gender? Evidence from a Field Experiment

Authors: Kaisa Snellman, Peter Younkin
DOI: 10.1287/mnsc.2021.00481
Department: Organizations
Published: 2026-09-03

Fields & Theories:

- **Fields:** Entrepreneurship, Organizational Behavior, Labor Economics, Diversity and Inclusion
- **Theories:** Signaling Theory, Person-Organization Fit, Social Identity Theory, Statistical Discrimination

Abstract:

Do job seekers consider the race or gender of an employer when applying for a job? Although we have extensive research on employer-side discrimination, we know less about employee-side biases and their consequences. In this study, we examine how the gender and race of the employer shape the willingness of prospective employees to apply for a job. To examine this, we conducted a field experiment where we randomized real jobseekers into three conditions according to employer demographics. We find that job candidates were less likely to apply to a job when they learn that the founders are Black, and, when they did apply, they requested 10% higher salary. In addition, the more qualified a candidate, the less likely they were to apply to Black founders, leaving Black founders with a pool of candidates that is smaller, worse, and more expensive than their White peers. We find no gender penalty for White female founders. Findings from two survey experiments suggest that the penalty is unique to White applicants evaluating Black founders and reflects a concern among White applicants that they will be less likely to fit within a firm and that the firm is less likely to be successful in the long run. We find no evidence of a widespread applicant homophily where all applicants favor founders of their own ethnic group, nor do we find evidence of widespread statistical discrimination whereby all applicants penalize Black founders for being atypical members of the entrepreneurial class. This paper was accepted by Olav Sorenson, organizations. Funding: Financial support from the INSEAD Alumni Fund is gratefully acknowledged. Supplemental Material: The online appendix and data files are available at https://doi.org/10.1287/mnsc.2021.00481 .

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2. Waiting or Acting: The Effects of Environmental Regulatory Uncertainty on Green Innovation

Authors: Jiawei (Brooke) Wang
DOI: 10.1287/mnsc.2024.06051
Department: Finance
Published: 2026-09-03

Fields & Theories:

- **Fields:** Strategic Management, Corporate Finance, Innovation Management, Environmental Policy
- **Theories:** Real Options Theory, Institutional Theory, Growth Options View

Abstract:

This paper investigates how environmental regulatory uncertainty affects green innovation in polluting firms. The findings suggest that, instead of adopting a passive "wait-and-see" strategy, polluting firms proactively engage in green innovation and R&D activities. To address endogeneity, I employ an instrumental variable approach using political polarization in roll-call votes on environmental and climate issues in the U.S. House of Representatives. I also exploit the proposal of the Affordable Clean Energy rule in 2018 as an exogenous shock in a difference-in-differences framework. The results are consistent with the growth options view of green innovation in polluting firms. Additional evidence suggests that environmental regulatory uncer-

tainty leads to reductions in toxic emissions. This paper was accepted by Camelia Kuhnen, finance. Supplemental Material: The online appendix and data files are available at https://doi.org/10.1287/mnsc.2024.06051 .

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3. Immigrants in Finance: Evidence from Hedge Funds

Authors: Jun Chen, Shenje Hshieh, Melvyn Teo, Feng Zhang
DOI: 10.1287/mnsc.2024.07615
Department: Finance
Published: 2026-09-03

Fields & Theories:

- **Fields:** Finance, Human Capital, International Business, Strategic Management
- **Theories:** Resource-Based View, Human Capital Theory, Labor Market Frictions

Abstract:

We examine the value of skilled immigrants in finance by exploiting evidence from visa lotteries. We find that hedge fund management companies that secure more H-1B visas in random lotteries deliver higher alphas, Sharpe ratios, and information ratios. The superior performance of funds with high H-1B visa allocations can be attributed to well-paid and highly educated H-1B workers with quantitative skills. H-1B workers add value by helping hedge funds develop distinctive investment strategies, arbitrage prominent stock anomalies, and overcome capacity constraints. Hedge funds appear to exploit labor market frictions as alpha generation is greatest by workers from countries with the longest wait times for U.S. permanent residency. This paper was accepted by Lukas Schmid, finance. Supplemental Material: The online appendix and data files are available at https://doi.org/10.1287/mnsc.2024.07615 .

 Chen - Immigrants in Finance Evidence from Hedge Funds.pdf

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4. Preventing Information Leakage

Authors: Jonathan Brogaard, Dan Li, Matthew Ma, Ryan Riordan, Bart Zhou Yueshen
DOI: 10.1287/mnsc.2025.00201
Department: Finance
Published: 2026-09-03

Fields & Theories:

- **Fields:** Finance, Information Economics, Strategic Management
- **Theories:** Information Asymmetry, Agency Theory, Strategic Information Management

Abstract:

Traders devote significant resources to producing private information. The value of such information is eroded when it is leaked. We study the use of multiple brokers by institutions to help mitigate information leakage. We document that trades using multiple brokers better predict future returns and have higher future profits, consistent with information possessed by investors driving the decision to use multiple brokers. We find that trades using multiple brokers are more informed and, yet, have lower price impacts, lower implementation shortfalls, and fewer follower trades than similar single-broker trades. The results suggest that traders use multiple brokers to successfully reduce information leakage. This paper was accepted by Camelia Kuhnen, finance. Supplemental Material: The internet appendix and data files are available at https://doi.org/10.1287/mnsc.2025.00201 .

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5. Narrative Ambiguity Matters

Authors: Xinbei Wei, Qunzi Zhang
DOI: 10.1287/mnsc.2025.02735
Department: Finance
Published: 2026-09-04

Fields & Theories:

- **Fields:** Finance, Behavioral Economics, Digital Finance
- **Theories:** Ambiguity Aversion, Prospect Theory, Information Processing Theory

Abstract:

By extracting information from economic news articles, this paper proposes a novel measure of narrative-based ambiguity that captures investors' attitudes toward nar rative uncertainty and exhibits strong in- and out-of-sample predictive power for the stock market returns. It reveals general ambiguity aversion except in high loss probability sce narios in which ambiguity tolerance emerges. Further tests confirm the significant pricing power and distinct information of the narrative ambiguity on top of existing ambiguity measures, such as survey- and return-based ambiguity. By aligning industry-specific narrative ambiguity, we construct a superior predictor for market returns with the predict ability predominantly driven by the ambiguity from consumption-, energy-, and technology-related sectors. Our findings also carry broad implications as the predictability remains significant across international markets and other asset classes. History: This paper has been accepted by Will Cong for the Virtual Special Issue on Digital Finance. Funding: Q. Zhang acknowledges research support from the National Natural Science Foundation of China [Grant 72573098], the National Natural Science Foundation of China Excellent Young Researcher Project [Grant 72222013], and the National Key R&D Program of China [Grant 2023YFA1009200]. X. Wei acknowledges research support from the Capital University of Economics and Business Scientific Research Project [Grant XRZ2025010]. Supplemental Material: The online appendix and data files are available at https://doi.org/10.1287/mnsc. 2025.02735.

 Wei - Narrative Ambiguity Matters.pdf

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6. Bad News Bearers: The Negative Tilt of the Financial Press

Authors: Betty Liu, Marina Niessner, Eric C. So
DOI: 10.1287/mnsc.2023.00580
Department: Finance
Published: 2026-09-18

Fields & Theories:

- **Fields:** Financial Economics, Strategic Management, Non-market Strategy, Media Studies
- **Theories:** Attention Theory, Information Asymmetry, Behavioral Bias, Price Discovery Mechanism

Abstract:

We show that increased media coverage strongly predicts lower subsequently announced firm fundamentals, earnings surprises, and higher likelihoods of bankruptcy, dividend cuts, and delistings. Additionally, we find that media articles often convey negative sentiment, with investor attention increasing around the publication of negative articles, suggesting that the media tilts coverage toward negative events to drive readership. We also show that media coverage initially impedes price discovery for negative news through an attention effect and that investors respond sluggishly to the negative signal embedded in media coverage decisions, leading to a gradual incorporation of the negative information into prices and return predictability. This paper was accepted by David Simchi-Levi, finance. Supplemental Material: The online appendix and data files are available at https://doi.org/10.1287/mnsc.2023.00580 .

 Liu - Bad News Bearers The Negative Tilt of the Financial Press.pdf

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7. Social Networks as Information Conduits for Online Credit Supply and Demand

Authors: Linda Allen, Lin Peng, Yu Shan
DOI: 10.1287/mnsc.2024.06050
Department: Finance
Published: 2026-09-22

Fields & Theories:

- **Fields:** Entrepreneurial Financing, Digital Finance, Social Network Analysis, Financial Intermediation
- **Theories:** Network Theory, Information Asymmetry, Social Capital, Information Diffusion

Abstract:

We study how intercommunity social networks influence loan demand and supply on fintech lending platforms. Demand for online loans rises following increases in online borrowing activity in geographically distant but socially connected areas. On the sup ply side, borrower area social proximity to deposit-rich regions increases funding likelihood and is associated with better ex post loan performance. We establish causality with shift- share instrumental variables (SSIVs) obtained from natural disasters (demand side) and financial adviser misconduct (supply side). Social connectedness expands both loan demand and supply in disadvantaged communities without increasing delinquency rates. Intercom munity social networks raise awareness of alternative lending platforms and transmit hard- to-obtain information that mitigates community-level information asymmetry. History: This paper has been accepted by Will Cong for the Virtual Special Issue on Digital Finance. Supplemental Material: The online appendix and data files are available at https://doi.org/10.1287/mnsc. 2024.06050.

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8. Superstition Everywhere

Authors: Jeffery (Jinfan) Chang, Huancheng Du
DOI: 10.1287/mnsc.2025.01449
Department: Finance
Published: 2026-09-23

Fields & Theories:

- **Fields:** Behavioral Finance, Cultural Economics, Strategic Management, Asset Pricing
- **Theories:** Anchoring, Ambiguity Aversion, Investor Sentiment, Heuristics and Biases

Abstract:

In Chinese culture, the digit 8 is considered lucky and the digit 4 unlucky. We find that this numerological superstition has a significant impact across China’ s stock, bond, foreign exchange, and commodity futures markets, affecting asset prices in both the primary and secondary markets. The superstition effect, that is, asset prices ending in a lucky (unlucky) digit are far more (less) frequent than expected by chance, is prevalent across finance markets. We show that this phenomenon is driven by two mechanisms: sophisticated investors’ reliance on superstition as an anchor to manage ambiguity, and the overoptimism of unsophisticated investors. While the superstition effect does not lead to any systematic mispricing for assets traded primarily by sophisticated investors, it is closely associated with overpricing for assets heavily traded by unsophisticated investors. This paper was accepted by Will Cong, finance. Funding: J. (J.) Chang received financial support from the National Natural Science Foundation of China [Grant 72573148]. Supplemental Material: The online appendix and data files are available at https://doi.org/10.1287/mnsc.2025.01449 .

 Chang - Superstition Everywhere.pdf
